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MGU-BVOC (HONOURS) Regular EXAMINATIONS, April 2026

SECOND SEMESTER

Skill Development Components (SDC) - MG2SDCBTX102 – BUSINESS LAWS

SCHEME FOR VALUATION

Time: 2 Hours **Max. Marks: 70**

PART - A

Very Short Answers. Answer **any 12** questions. Each question carries **1 mark**.

1. **Stranger to contract**: A person who is not a party to the contract and generally cannot sue or be sued on it.
2. **Partnership**: Relationship between persons who agree to share profits of a business carried on by all or any of them acting for all.
3. **Part delivery**: Delivery of a portion of goods with the intention of delivering the whole.
4. **Right of subrogation**: Right of a surety to step into the shoes of the creditor after paying the debt.
5. **Contract**: An agreement enforceable by law.
6. **Express vs Implied contract**:
    - Express: Terms stated clearly (oral/written)
    - Implied: Inferred from conduct or circumstances
7. **Document in LLP**: LLP Agreement
8. **Suit for damages**: Legal action to claim compensation for loss due to breach of contract.
9. **Lien**: Right to retain possession of goods until a debt is paid.
10. **Role of surety**: Guarantees performance/payment of the principal debtor and is liable if the debtor defaults.
11. **Contingent goods examples**: Goods to be acquired in future (e.g., goods expected from a supplier not yet purchased).
12. **Maximum partners in LLP**: No maximum limit (minimum is 2).
13. **Condition vs Warranty**:

- Condition: Essential stipulation; breach allows contract termination
- Warranty: Minor stipulation; breach allows damages only

14. **Irrevocable agency**: Agency that cannot be terminated by the principal (e.g., when agent has an interest in subject matter).

PART - B

Short Essay Questions. Answer **any four** questions. Each question carries **7 marks**

15. Essentials of Contract of Sale

- Two parties (buyer & seller)
- Transfer of ownership of goods
- Goods (movable property)
- Price (money consideration)
- May be absolute or conditional
- Includes sale & agreement to sell

16. Quasi Contracts & Provisions

- Not real contracts but imposed by law
- Based on equity and justice

Provisions:

- Supply of necessaries
- Payment by interested person
- Non-gratuitous acts
- Finder of lost goods
- Money paid by mistake

17. Grounds for Dissolution of Firm

- By agreement
- Compulsory (insolvency, illegality)
- Contingencies (expiry, death, etc.)
- By notice (partnership at will)
- By court (misconduct, incapacity, etc.)

18. Elements of Free Consent

- Consent must be free from:
    - Coercion
    - Undue influence
    - Fraud
    - Misrepresentation
    - Mistake

19. Rights of Pledgee

- Right to retain goods
- Right to extraordinary expenses
- Right to sue and retain goods
- Right to sell goods on default

20. Essentials of Valid Acceptance

- Must be absolute and unqualified
- Communicated properly
- Given within reasonable time
- By proper person
- Must follow prescribed mode

PART - C

Essay Questions. Answer **any Two** question. The question carries **15 marks**

21. Explain the various modes of discharge of contract.

Discharge of contract means termination of contractual obligations between the parties. When a contract is discharged, the parties are released from their legal duties and liabilities. A contract may be discharged in different ways depending on the circumstances.

1. Discharge by Performance

Performance is the most common mode of discharge of contract. When both parties perform their respective obligations according to the terms of the contract, the contract comes to an end.

Performance may be:

- Actual performance
- Attempted or tender performance

Actual performance takes place when both parties completely fulfil their promises. Tender performance occurs when one party offers to perform the contract, but the other party refuses to accept it. A valid tender discharge the party from liability.

2. Discharge by Mutual Agreement

A contract is created by mutual consent, and therefore it may also be discharged by mutual agreement of the parties.

The important forms are:

Novation:
A new contract replaces the old contract either between the same parties or different parties. The old contract is discharged.

Alteration:
The terms of the contract are changed with the consent of all parties.

Rescission:
The parties mutually agree to cancel the contract.

Remission:
The promisee accepts a lesser amount or lesser performance than what was originally agreed.

Waiver:
One party voluntarily gives up his rights under the contract.

3. Discharge by Impossibility of Performance

Sometimes performance becomes impossible due to circumstances beyond the control of the parties. In such cases, the contract is discharged.

Impossibility may be:

- Initial impossibility
- Supervening impossibility

Initial impossibility exists at the time of formation of the contract. Supervening impossibility arises after the contract is made.

Examples:

- Destruction of subject matter
- Death or incapacity of a party
- Change in law
- Outbreak of war or natural disaster

This is also known as the doctrine of frustration.

4. Discharge by Operation of Law

A contract may be discharged automatically by law in certain situations.

Examples:

- Death of a party in personal contracts
- Insolvency
- Merger of rights
- Material alteration of contract without consent

5. Discharge by Lapse of Time

Every contract must be enforced within the period prescribed by the Limitation Act. If the aggrieved party fails to take action within the specified time, the contract is discharged by lapse of time.

6. Discharge by Breach of Contract

When one party fails to perform his obligation, it amounts to breach of contract.

Breach may be:

- Actual breach
- Anticipatory breach

Actual breach occurs on the due date of performance. Anticipatory breach occurs when one party refuses to perform before the due date.

22. What is partnership? Differentiate partnership with a company.

According to the Indian Partnership Act, 1932, partnership is the relation between persons who have agreed to share the profits of a business carried on by all or any one of them acting for all.

Partnership is formed through an agreement between two or more persons to conduct business jointly. The persons are called partners, and collectively they are known as a firm.

Features of Partnership

- Existence of agreement between partners
- Sharing of profits and losses
- Mutual agency
- Lawful business
- Unlimited liability
- Utmost good faith among partners
- No separate legal entity

Difference between Partnership and Company

1. Formation

Partnership is formed by agreement between partners. Registration is optional in many cases.

A company is formed by registration under the Companies Act and must follow legal formalities.

2. Legal Status

Partnership has no separate legal existence apart from its partners.

A company has a separate legal entity distinct from its shareholders.

3. Liability

In partnership, the liability of partners is unlimited. Their personal assets may be used to pay business debts.

In a company, shareholders have limited liability.

4. Number of Members

Partnership requires a minimum of two persons and has a limited maximum number of partners.

A company may have a large number of members, especially in the case of a public company.

5. Transfer of Interest

A partner cannot transfer his interest without the consent of other partners.

Shares of a company can generally be transferred easily.

6. Management

Partnership business is managed directly by partners.

A company is managed by the Board of Directors elected by shareholders.

7. Continuity

Partnership may dissolve on death, insolvency, or retirement of a partner unless otherwise agreed.

A company enjoys perpetual succession and continues despite changes in membership.

8. Audit and Regulation

Partnership firms have fewer legal formalities and audit is not compulsory in all cases.

Companies are strictly regulated by law and statutory audit is compulsory.

9. Dissolution

Partnership can be dissolved comparatively easily.

Dissolution of a company is a lengthy legal process.

23. Elaborate exceptions to the general rule “Let the buyer beware”.

The doctrine of “Caveat Emptor” means “Let the buyer beware.” According to this rule, the buyer must examine goods carefully before purchasing them. The seller is generally

not responsible for defects in goods. However, modern business law recognises several exceptions to protect buyers from unfair practices.

1. Fitness for Buyer's Purpose

When the buyer informs the seller about the specific purpose for which goods are required and relies on the seller's skill and judgment, the seller must supply suitable goods.

2. Merchantable Quality

When goods are purchased from a dealer by description, the goods must be of merchantable quality. They should be fit for ordinary use and free from hidden defects.

3. Sale by Description

If goods are sold by description, they must correspond exactly with the description provided by the seller.

4. Sale by Sample

When goods are sold by sample, the bulk of goods should correspond with the sample shown. The buyer must also get reasonable opportunity to compare the sample and the goods.

5. Fraud and Misrepresentation

The seller cannot escape liability if he makes false statements or intentionally deceives the buyer.

Fraud includes deliberate concealment of defects or false representation regarding quality or nature of goods.

6. Active Concealment of Defects

If the seller knowingly hides defects from the buyer, the rule of caveat emptor will not apply.

7. Usage of Trade

Trade customs or business usage may create implied conditions and warranties regarding quality or fitness of goods.

8. Express Conditions and Warranties

If the seller expressly guarantees certain qualities or performance of goods, the buyer can rely on such assurances.